CAPITAL MARKETS

Grubb's $1.9B REIT Rollup Shows Time Is the Cost of Capital in Multifamily

Consolidating funds and securing $617M in financing buys Grubb a simpler balance sheet and a longer execution clock.

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A source-grounded Light Tower Insight. The complete note follows.

Grubb Properties did not merge six legacy funds into a $1.9 billion nontraded REIT this week because it wanted a new logo. It did it because time has become the most expensive input in multifamily capital management, and a single, larger vehicle buys more of it.

The Charlotte-based firm consolidated more than 60 properties into Link Apartments REIT, a newly formed managed REIT with over 5,600 units. Simultaneously, it secured $617 million in financing across the portfolio: a $240 million credit facility for its existing Link Apartments Opportunity Zone REIT, a $300 million senior construction loan from Maxim Capital Group for its Manhattan tower at 8 Carlisle, and a $77 million mezzanine loan co-originated by GreenBarn Investment Group, Skylight Real Estate Partners, Axonic Capital, and Meadow Partners.

The transaction matters because it reveals how sponsors are using corporate structure to manage the cost of time. Grubb is not raising new equity. The REIT is not open for new investment, and there are no plans to pursue a public listing, according to spokesperson Emily Ethridge. This is not a capital raise. It is a capital reorganization designed to extend the firm's execution horizon.

Grubb's move comes as the multifamily sector broadly emerges from a supply-driven malaise. Second-quarter apartment absorption hit 124,600 units, among the highest in 25 years, pushing vacancy lower. A slowdown in new housing construction adds a tailwind. But the sector also faces demographic headwinds as population growth slows. The macro picture is improving, but not uniformly, and not fast enough for every asset in every fund.

The core insight is that Grubb is trading complexity for time. A single REIT with a $1.9 billion valuation and a unified balance sheet can access larger, cheaper financing than a collection of smaller funds with different vintages, investor bases, and liquidity profiles. JLL coordinated the M&A, corporate banking, and debt advisory to sequence the transactions. The structure is the product.

The $300 million construction loan for 8 Carlisle is particularly revealing. A 64-story tower with 462 apartments topping off this month is entering the lease-up phase, the most capital-intensive period in a development's life. Construction loans typically convert to permanent financing only after stabilization. By securing the full capital stack now, including $77 million in mezzanine debt, Grubb is buying a multiyear runway to lease the building without the pressure of a maturing construction loan or the need to refinance into a potentially less favorable rate environment.

The mezzanine lenders are not passive. GreenBarn, Skylight, Axonic, and Meadow Partners are taking subordinate risk on a building that has not yet produced a dollar of stabilized income. Their willingness to participate signals that the basis and the sponsor quality justify the risk. But it also means Grubb has added a layer of expensive, time-sensitive capital that will need to be repaid or refinanced before the senior loan matures.

The $240 million credit facility for the OZ REIT is a different tool. It provides liquidity for a 17-property portfolio without forcing asset sales. In a market where transaction volume remains constrained by the bid-ask spread, a credit facility lets the sponsor hold assets through the recovery rather than selling into a thin bid.

The pattern is clear: sponsors are using corporate structure, not just asset-level financing, to manage the cost of time. A larger vehicle with a simpler capital stack can absorb lease-up risk, hold through valuation resets, and access institutional debt markets that smaller funds cannot. The trade-off is that the sponsor accepts less flexibility. A single REIT means all assets share the same balance sheet risk. If one property underperforms, it affects the whole vehicle.

For owners and sponsors watching this deal, the question is not whether Grubb's strategy works. It is whether your own capital structure gives you enough time to execute your business plan. If you are managing multiple funds with different maturities, investor bases, and liquidity profiles, the cost of that complexity is rising. The market is rewarding simplicity, scale, and a single execution clock.

For lenders, the signal is that construction and mezzanine debt is available for the right sponsor and the right basis, but only when the exit path is credible. Maxim Capital Group is not betting on Manhattan multifamily broadly. It is betting on a specific tower, a specific sponsor, and a specific lease-up timeline. The mezzanine lenders are betting that the senior loan will not need to be extended.

The next phase of the multifamily cycle will not be defined by who owns the best story. It will be defined by who controls the cheapest capital and the longest execution clock. Grubb just bought itself more of both.

SOURCES

— Bisnow — https://www.bisnow.com/national/news/capital-markets/grubb-merges-funds-forms-nearly-2b-dollar-nontraded-apartment-reit-135501

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